

AI in Marketing: Successes, Failures, and Applied Lessons

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1) What area did you research?

The focus of this research is the field of marketing, specifically examining how artificial intelligence is applied in brand campaigns, consumer experience personalization, content creation, and customer-facing product presentation to different audiences. As marketing becomes more data-driven, AI has become both a powerful tool and a source of major, costly mistakes for major global brands. The case studies selected below were chosen specifically because they involve documented financial outcomes: real money made or lost.

2) What articles did you use?

Success Article 1:

Poinski, Megan. "Inside Klarna's Marketing 'AI Factory,' Which Could Save \$10M In 2024." Forbes, 29 May 2024, <https://www.forbes.com/sites/meganpoinski/2024/05/29/inside-klarnas-marketing-ai-factory-which-could-save-10m-in-2024/>

Supporting Source for Success Article 1:

"Klarna Uses AI to Save \$10M on Marketing Annually While Upping Campaign Output." Marketing Dive, 28 May 2024, <https://www.marketingdive.com/news/klarna-gen-ai-openai-cut-marketing-spend-efficiency/717332/>

Success Article 2:

"Case Studies: Successful AI Marketing Campaigns in 2024." Mosaikx, 6 July 2024, <https://mosaikx.com/blogs/case-studies-successful-ai-marketing-campaigns-in-2024/>

Failure Article 1:

Harrison, Maggie. "Sports Illustrated Published Articles by Fake, AI-Generated Writers." Futurism, 27 Nov. 2023, <https://futurism.com/sports-illustrated-ai-generated-writers>

Supporting Source for Failure Article 1:

"Sports Illustrated Publisher Sees Stock Decline Following Its AI Writing Controversy." AfroTech, 5 Dec. 2023, <https://afrotech.com/sports-illustrated-ai-writing-controversy>

Failure Article 2:

Kiger, Patrick J. "Flip Flop: Why Zillow's Algorithmic Home Buying Venture Imploded." Stanford Graduate School of Business Insights, 9 Dec. 2021, <https://www.gsb.stanford.edu/insights/flip-flop-why-zillows-algorithmic-home-buying-venture-imploded>

Supporting Source for Failure Article 2:

Zillow Group. "Zillow Group Reports Third-Quarter 2021 Financial Results and Shares Plan to Wind Down Zillow Offers Operations." Press release, 2 Nov. 2021, <https://investors.zillowgroup.com/investors/news-and-events/news/news-details/2021/Zillow-Group-Reports-Third-Quarter-2021-Financial-Results--Shares-Plan-to-Wind-Down-Zillow-Offers-Operations/default.aspx>

3) Of the articles where AI did well, how much better did it do than a human?

Klarna, the global buy-now-pay-later fintech company based in Sweden, deployed a comprehensive AI-powered marketing system it called its "AI Factory." The financial results were concrete and measurable. According to the Forbes interview with Klarna CMO David Sandström and confirmed by a separate Marketing Dive report, AI was responsible for 37% of Klarna's marketing cost savings, equaling approximately \$10 million in annualized savings by Q1 2024 (Poinski; Marketing Dive). The company simultaneously reduced its total sales and marketing budget by 11% while running more campaigns and producing more content than before (Poinski).

The specific productivity gains over human-led processes are striking:

- Image production cycle: Reduced from 6 weeks to 7 days using AI tools like Midjourney, DALL-E, and Firefly, saving \$1.5 million in Q1 alone (Marketing Dive).
- Image volume: Generated more than 1,000 images in one quarter alone, a volume previously impossible without large agency teams (Marketing Dive).
- Translation costs: **Significantly reduced as part of Klarna's 25% cut to external agency spending**, replacing agency contracts that previously took weeks and cost significant fees (Poinski).
- Copywriting: AI now handles 80% of all copywriting via an internal tool called "Copy Assistant," a task that previously required multiple agency partners (Marketing Dive).
- Agency spend: External agency spending cut by 25%, with run-rate savings of \$4 million by eliminating translation, production, CRM, and social media agencies (Marketing Dive).

In direct comparison to human teams, Sandström explained that work which "two years ago cost a lot of money, took a lot of time and required a lot of people, nowadays requires very few people," done "at an extremely high pace" and "at a very low cost" (Poinski). The AI was not replacing humans entirely but rather amplifying a small team to do the work of a much larger organization.

Case 2: Sephora's AI-Driven Personalization and Virtual Artist Tool (Beauty/Retail Brand)

Sephora, the global beauty retail giant, integrated AI across its customer-facing marketing through two primary tools: the Sephora Virtual Artist (an augmented-reality virtual try-on platform) and a personalized AI-driven recommendation chatbot. According to the Mosaikx case study, online sales increased by 30% as a direct result of the enhanced shopping experience provided by these tools ("Case Studies"). Industry analysis has also noted that the Virtual Artist tool achieved significantly higher conversion rates for customers who engaged with it, compared to those who browsed without it, with AI-powered personalization analyzing data from over 25 million Beauty Insider members to create tailored product recommendations. These gains are directly attributable to AI's ability to deliver a personalized, in-store-quality experience at internet scale, something no human team could replicate across millions of simultaneous digital shoppers.

4) Of the articles where AI did poorly, how bad was it?

Case 1: Sports Illustrated's AI-Generated Fake Writers Scandal (Media/Content Brand)

In November 2023, the investigative technology outlet Futurism revealed that Sports Illustrated, one of America's most iconic sports journalism publications, had been publishing product review articles written by entirely fictional, AI-generated authors (**Harrison**). The fabricated writers, with names like "Drew Ortiz" and "Sora Tanaka," had AI-generated profile photos purchased from a commercial headshot marketplace, elaborate fake biographical descriptions, and no verifiable existence outside of the Sports Illustrated website (**Harrison**). The content itself was widely described as poor quality, featuring bizarre phrasing, like a volleyball guide warning that the sport "can be a little tricky to get into, especially without an actual ball to practice with" (**Harrison**).

The financial consequences were immediate and severe. According to AfroTech's report citing data from Sportico, shares in The Arena Group (Sports Illustrated's publisher) dropped 28% within days of the story breaking ("Sports Illustrated Publisher"). The company's market capitalization dropped by \$20 million, pushing it into micro-cap territory with a market value of just \$48 million ("Sports Illustrated Publisher"). The reputational damage extended further: by January 2024, the publisher had its Sports Illustrated license revoked by its licensing partner, Authentic Brands Group, after Arena Group failed to make a \$3.75 million quarterly royalty payment, a development widely connected to the company's financial deterioration following the AI scandal (ESPN; Sportico). A publication that had commanded more than three million print

subscribers at its peak and won multiple National Magazine Awards had used AI deceptively to cut costs, and the result was the near-total destruction of the brand's institutional credibility (**Harrison**; The New York Times).

Case 2: Zillow's AI-Powered iBuying Collapse (Real Estate / Consumer Brand)

Between April 2018 and November 2021, Zillow, one of the most recognized real estate brands in the United States, attempted to use its proprietary AI valuation model, the Zestimate, to autonomously purchase and resell homes at scale through a program called Zillow Offers (Kiger). The business model, known as iBuying, relied entirely on the algorithm's ability to generate offer prices accurate enough that the margin between acquisition cost and resale price consistently exceeded renovation, carrying, and transaction costs (Kiger). By Q3 2021, Zillow reported total consolidated quarterly revenue of \$1.7 billion, with the Homes segment alone contributing \$1.2 billion, representing approximately 70% of the company's total Q3 revenue (Zillow Group). The technology appeared to be working.

It was not. **In early 2021**, Zillow made a decision that would prove catastrophic: it converted the Zestimate from an advisory consumer tool into a binding financial commitment, making its algorithmic output the literal cash offer Zillow extended to homeowners (**Kiger**). The model had not changed, but the stakes had transformed entirely. Advisory error costs information; transactional error costs money on every deal, irrecoverably. In Q3 2021 alone, the company purchased 9,680 homes at algorithmic prices, sold only 3,032, and recorded an average loss of approximately \$80,000 per home sold (Zillow Group). A \$304 million inventory write-down was disclosed in November 2021 alongside the decision to shut down Zillow Offers entirely and lay off approximately 2,000 employees, 25% of the company's workforce (Zillow Group). **The Q3 2021 press release further projected an additional \$240 million to \$265 million in losses to be recognized in Q4, bringing total anticipated write-downs above \$540 million** (Zillow Group).

The AI failure had two compounding technical roots. First, the model suffered from concept drift: the Zestimate had been trained on data from a sustained period of U.S. home price appreciation, including the extraordinary pandemic-driven surge of 2020 and early 2021. When the housing market began cooling in the second half of 2021, particularly in the markets where Zillow was most active, such as Phoenix, Atlanta, and Las Vegas, the algorithm continued generating purchase prices consistent with the hot market conditions in its training data, because it had no representation of a falling market (Kiger). Second, the program was structurally vulnerable to adverse selection, described in economics as the "Lemons Problem": because Zillow priced at the estimated average market value, sellers of above-average homes had every incentive to seek the open market. In contrast, sellers of flawed or overvalued properties had every incentive to accept Zillow's quick offer (Kiger). Zillow was systematically acquiring the homes that the open market would discount.

The financial damage was further compounded by **an internal initiative in which management reportedly overrode the algorithm's conservative offer outputs upward to win more bids and hit acquisition volume targets** (Kiger). This meant human judgment was amplifying the model's directional error rather than checking it. By contrast, competitor Opendoor, operating the same business model in the same market, had built monitoring infrastructure to detect when its model's outputs were moving outside reliable ranges and adjusted offers accordingly; Opendoor **posted a profitable Q3 2021** while Zillow recorded its \$304 million write-down (Kiger). The difference was not technology; it was governance. Zillow's failure was not a malfunction: the algorithm performed exactly as designed. What failed was the decision to deploy an advisory AI tool as an autonomous engine for high-value, irreversible transactions without sufficient human oversight or market monitoring in place (Kiger).

5) What lessons can you learn about how to use AI successfully in your area?

The Klarna and Sephora cases illuminate several consistent principles behind effective AI marketing implementation:

1. AI works best as a workflow multiplier, not a human replacement: Klarna's CMO explicitly described the goal as enabling "a couple of extremely talented, smart marketers assisted by the best AI in the world," not eliminating the human element entirely (Poinski). AI excelled at volume, translation, and batch production; humans managed strategy, brand voice, and quality control.
2. Measurable workflows are the right starting point: Klarna broke its marketing operations into defined steps (ideation, creation, distribution, analytics) and built AI tools for each specific stage rather than seeking one universal solution (Poinski). This modular approach allowed the company to measure ROI at each step.
3. AI succeeds when it solves a real consumer problem: Sephora's Virtual Artist succeeded because it addressed a genuine barrier to online beauty purchases: the inability to visualize how a product would look on your face ("Case Studies"). The AI delivered something a human-staffed website literally could not.
4. Data infrastructure is the true competitive advantage: Klarna's ability to generate hyper-relevant daily content was powered by its 3 million daily transactions providing real-time trend signals (Poinski). AI's quality is directly tied to the quality and depth of the data it has access to.
5. Quality control systems must be AI-driven too: Klarna built an "AI Creative Director" system to assess AI-generated images for creative quality, legal compliance, and brand alignment before content went live, preventing the errors that destroyed other brands (Poinski).

6) What lessons can you learn about how AI has been used unsuccessfully?

The Sports Illustrated and Zillow cases provide equally instructive, if painful, lessons:

- Transparency is non-negotiable: Sports Illustrated's core failure was deception: publishing AI-generated content under fake human names with no disclosure to readers (**Harrison**). Had the same content been disclosed as AI-assisted, the reputational damage would have been a fraction of what occurred. Consumer trust, once broken, is extraordinarily expensive to rebuild.
- Cost-cutting is a dangerous primary motivation for AI adoption: Both Zillow and Sports Illustrated deployed AI primarily to reduce labor, agency, and operational costs rather than to genuinely improve the customer or consumer experience. Klarna and Sephora, by contrast, framed AI as a quality and personalization enhancer first, with cost savings as a secondary benefit (Poinski; "Case Studies").
- AI must remain within the validated scope of its deployment: Zillow's Zestimate was a genuinely accurate advisory tool for consumers. The moment it was converted into a binding autonomous purchasing engine for capital-intensive assets without additional validation, its error rate, tolerable in an advisory context, became catastrophic (Kiger). A model accurate enough for one deployment context is not automatically accurate enough for a higher-stakes one.
- Brand equity is a financial asset that AI can destroy rapidly: Sports Illustrated once commanded over three million print subscribers and multiple National Magazine Awards, and AI-generated deception destroyed its publisher's market cap by \$20 million in days ("Sports Illustrated Publisher"). Zillow lost **hundreds of millions of dollars** and a quarter of its workforce in less than a single fiscal year (Zillow Group). The speed of AI-driven financial damage vastly exceeds the speed at which value was built.
- Human oversight must be substantive, not just procedural: Zillow had humans in the process, but they confirmed only that the system had run, not that its outputs were reliable in changing conditions (Kiger). When the **internal override** was activated, it pushed in the same direction as the model error rather than correcting it. Real oversight requires humans empowered to slow or stop a program when the data warrants it.

7) Would you use AI and the lessons you learned to make an unsuccessful AI journey better? Why or why not? (3-4 sentences here.)

Yes, absolutely, but only with a fundamentally different strategic framework. The evidence from both the Zillow and Sports Illustrated cases shows that AI failed not because the technology was inherently flawed, but because it was deployed with the wrong goals (cost-cutting over quality), without sufficient accuracy standards and deployment boundaries, and without transparency to the consumer. If tasked with rehabilitating either of these failed AI initiatives, the approach would begin by rebuilding the consumer trust that was lost through radical transparency: clearly

disclosing AI use, setting measurable accuracy benchmarks and validated deployment limits for any algorithmic system used in consequential decisions, and framing AI as a quality enhancer rather than a cost-reduction substitute (Kiger; **Harrison**). The lessons from Klarna's success demonstrate that when AI is deployed as a workflow amplifier with robust quality controls and human oversight, even ambitious brands can achieve significant financial results without alienating their audience (Poinski). An unsuccessful AI journey is not irreversible, but it requires the organization to honestly confront why it failed, usually a misalignment between what the AI was asked to do and what the customer or market needed.

Sources:

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